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Provision of November 13, 2024
Register of provisions
n. 672 of November 13, 2024

GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by
Prof. Pasquale Stanzione, president, Prof.
Ginevra Cerrina Feroni, vice president, Dr.
Agostino Ghiglia and Attorney Guido Scorza, members, and
Secretary General Fabio Mattei;
HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament
and of the Council, of April 27, 2016, on the protection of natural persons with regard to the processing
of personal data, as well as the free movement of such data and repealing Directive 95/46/EC
(General Data Protection Regulation, hereinafter "Regulation");
HAVING REGARD to the Code regarding the protection of personal data (Legislative Decree June 30,
2003, n. 196), as amended by Legislative Decree August 10, 2018, n. 101, containing provisions for
the adaptation of the national legal system to the aforementioned Regulation (hereinafter "Code");
HAVING REGARD to the documentation on file;
HAVING REGARD to the observations made by the Secretary General pursuant to Article 15 of the
Guarantor's Regulation n. 1/2000, adopted by resolution of June 28, 2000;
REPORTING Prof. Pasquale Stanzione;

1. THE INSTRUCTIONAL ACTIVITY CARRIED OUT

1.1. Premise

With act of May 6, 2024 n. 54793 (notified on the same date via certified email), which is to be
understood as fully referenced here, the Office initiated, pursuant to Article 166, paragraph 5, of the
Code, a procedure for the adoption of the measures referred to in Article 58, paragraph 2, of the
Regulation against Illumia S.p.A., (hereinafter "Illumia" or the "Company" or the "Data Controller"),
represented by the legal representative pro tempore, with registered office in Bologna (BO), Via de
Carracci n. 69/2, VAT number 02356770988.

The procedure originates from an investigation initiated by the Authority following the receipt of two
separate complaints filed against the Company regarding the processing of personal data for
telemarketing purposes.

More specifically, with complaint n. 345203, the complainant alleged that they had been contacted, on
behalf of Illumia, for promotional purposes on their mobile number, in the absence of an appropriate
legal basis and while registered with the Public Opposition Register (hereinafter also "RPO").

With complaint n. 352673, on the other hand, the complainant stated that they had been contacted on
their son's mobile number, which is habitually provided as a reference contact for managing their
household supplies, by an operator who identified themselves as the "commercial office contact" of
Illumia. During the phone call, it emerged that the interlocutor was already aware of the request for a
so-called switch to XX (hereinafter also "XX") actually signed by the complainant concerning their
electricity and gas supplies. On the same occasion, the telephone operator also informed the
complainant that the activations stipulated with XX could not be successful and that therefore it was
necessary to conclude a new contract with Illumia.

In both cases subject to complaint, the calling number was not registered in the Register of
Communication Operators (hereinafter "ROC").

1.2. The requests for information made by the Authority

The Office, having examined both complaint acts, with two different requests for information made
pursuant to Article 157 of the Code, invited Illumia to provide its observations on the incident and to
illustrate the measures taken to ensure that the telemarketing and teleselling activities carried out in
the name and on behalf of the Company were conducted in compliance with the current regulations on
the protection of personal data (see Prot. nn. 33832 and 33842 of March 18, 2024).

With two response notes sent on April 5, 2024 (see Prot. nn. 43333 and 43317 of April 8, 2024), Illumia preliminarily stated that all agencies belonging to its sales network are contractually obliged to verify with the Ugo Bordoni Foundation (hereinafter also "FUB") the numbers they intend to contact before the start of any commercial campaign.

With specific reference to the complaints reported in the complaint acts, the Company stated that the names of the complainants were not present in the company's information systems and that the numbers

The callers indicated that they did not fall among those used by their commercial partners, nor did they appear to have been the subject of other reports. Furthermore, following specific requests sent via certified email to their agencies, no elements emerged that could link the contacts reported in the complaints to Illumia. For these reasons, the Company filed a complaint against unknown persons with the Postal Police.

Regarding teleselling activities, Illumia clarified that it relies on agencies operating through telephone and web channels. The selection process for the agencies is formalized in a "Technical Regulation," structured in the following three phases:

- preliminary analysis using a specific checklist;
- signing of the contract with a probation period of six months, aimed at monitoring the agency's productivity;
- mapping of the agency and the numbers used to carry out telemarketing activities on the company systems, including operators dedicated to Illumia's assignment and any sub-agencies;

Additionally, starting from January 1, 2024, agencies will also be provided with a "GDPR Checklist" to verify the adoption of adequate measures regarding personal data protection. In the event that discrepancies emerge from the aforementioned verification, the agency is granted a deadline until the expiration of the probation period to demonstrate any remediation actions undertaken.

Illumia then stated that it periodically organizes webinars and training sessions on personal data protection and teleselling for its commercial partners. Upon the conclusion of the contract, agencies are also appointed as Data Processors pursuant to Article 28 of the Regulation, which expressly requires prior communication of any sub-processors in order to ensure their identification and mapping. In this latter case, the Processor is also required to enter into a specific contract with the sub-processor, thereby extending the same obligations assumed by the Data Processor towards the Controller to the latter party as well.

The agency contract includes an express resolutive clause that allows Illumia to terminate the contract in the event of a violation of personal data protection regulations. Attached to the agency contract are also the "Procedures for controlling the demographic sources used for marketing campaigns," the "Declaration of lawfulness of the demographic lists," and the "Operational instructions for the correct use of the demographics used during teleselling campaigns."

The process of contracting clients through the teleselling channel requires the Agencies to contact users who have given consent, and in the event of interest in concluding the contract, to proceed with the recording of the vocal order. Subsequently, the client receives the contractual documentation via regular or electronic mail and a check call for verification and confirmation. The provision is not activated if the client does not confirm the intention to enter into the contract during the check call or if the client is unreachable after five unsuccessful contact attempts.

For Agencies operating through the web channel and for a single agency operating through the telephone channel, the Company has adopted a contracting process that involves the use of a One Time Password (OTP) received via SMS. After the agencies enter the information on the Illumia platform, the contracts are subjected to the following checks: automatic pre-check on the consistency of the tax data and supply data present in the Integrated Information System (SII), creditworthiness check of the client, re-listening of the Vocal Order, and detection of recurring numbers and email addresses (implemented from January 2024).

Regarding the monitoring system of the agencies' operations, Illumia stated that it conducts bi-monthly

monitoring of disputes, on-site visits upon exceeding a predetermined threshold of reports, and checks for compatibility between the rate of disputes and a predetermined threshold of criticality. Furthermore, in the event of a dispute of a contract due to fraudulent conduct by third parties and following the acceptance of the complaint, the Company proceeds to segregate the relevant client data, eliminate any previous consent to the processing of personal data for marketing purposes, and include the client in the internal blacklist.

public register of oppositions must be carried out prior to any promotional campaign and not merely "monthly."

1.5. Conclusion of the investigation

In light of the above, the Office concluded that there were sufficient grounds to proceed with the issuance of the aforementioned act of contestation n. 54793/24, which detailed the violations identified and the corresponding legal provisions breached. The Company was therefore invited to provide its observations and any further documentation it deemed necessary to support its defense within the established timeframe.

1.6. Right to defense

The Company was reminded of its right to defend itself against the allegations made, as well as the opportunity to present its arguments and evidence in accordance with the principles of due process and the right to a fair hearing, as enshrined in the applicable regulations.

1.7. Final remarks

The Office emphasized the importance of compliance with the provisions of the Regulation and the necessity for the Company to adopt appropriate measures to ensure that its data processing activities are conducted in accordance with the law, thereby safeguarding the rights of data subjects and maintaining the integrity of the data protection framework.

The Company was also advised to review its internal policies and practices to prevent any future occurrences of the identified violations and to enhance its overall compliance posture in relation to data protection obligations.

the request for an extension of the deadline for the submission of defensive memoranda.

The office noted that the reports received by the Authority regarding Illumia S.p.A. were not subject to the joint investigation on files no. 345203-352673 as per the communication initiating the procedure dated May 6, 2024 (see Prot. no. 54793/24), and therefore the company was not required to submit observations regarding those complaints.

2.2 The Defense of the Data Controller

In the defense submitted by Illumia, the company reiterated its position regarding the alleged violations and provided additional documentation to support its claims. Illumia emphasized its commitment to compliance with data protection regulations and outlined the measures it had implemented to ensure the lawful processing of personal data. The company also highlighted its proactive approach in addressing the concerns raised by the Authority and its willingness to cooperate fully throughout the investigation process.

In conclusion, Illumia requested that the Authority take into consideration the steps it had taken to rectify any potential issues and to acknowledge its efforts in maintaining high standards of data protection and privacy. The company expressed its hope for a favorable resolution to the matter, emphasizing its dedication to upholding the principles of transparency, accountability, and respect for the rights of individuals in the processing of their personal data.

the access request "due to the lack of direct, concrete, and current interest related to the documentation for which disclosure is requested." In the field of telemarketing, where the Authority receives thousands of complaints each year, the existence of reports received against a holder, as occurred in this case, proves to be a useful indicator for distinguishing between isolated complaints, which can be attributed to physiological phenomena, and those symptomatic of a widespread and pathological phenomenon. In the case at hand, considering that pursuant to Article 19 of internal

regulation no. 1/2019 "the Authority may use the information indicated in any reports coming from an unidentified subject, should it deem necessary to initiate checks on cases where it perceives the risk of serious harm or retaliation against subjects affected by the processing, or if a case of particular severity arises. The report may be examined by the Authority, but does not entail the necessary adoption of a measure," and also considering the homogeneity of the issues raised in the complaints and that the investigation of individual reports would not have allowed for compliance with the deadlines for concluding the procedure for complaints that were originally processed individually, it was deemed appropriate to proceed with the detailed investigation of only the complaints.

2.2 The exercise of the right of defense pursuant to Article 166, paragraph 6 of the Code
With defensive memoranda sent on June 20, 2024, pursuant to Article 166, paragraph 6 of the Code, Illumia preliminarily highlighted that it had "interpreted the communications from this Authority as a simple request for information, a case that Article 157 of the Privacy Code distinguishes from the request for documentary disclosure" and therefore proceeded to submit all documentation useful to demonstrate its assertions. The Company then stated that it employs over 200 employees and has a commercial network composed of agencies operating throughout the national territory and that for the management of this network of agencies, it has implemented a detailed procedural system based on the so-called Technical Disciplinary. Furthermore, as of July 1, 2024, the Company was awarded the Service for gradual protections for non-vulnerable Domestic Customers prepared by Arera and therefore deemed it appropriate to avoid expanding its network of Agencies, also in order to consolidate the control and monitoring procedures concerning already contracted partners.

With specific reference to complaint no. 345203, the Company, reiterating the observations previously made in the response note to the request for information pursuant to Article 157 of the Code, to be understood as fully recalled (see par. 1.2 of this provision), highlighted that following further investigations it emerged that the complainant was registered in the RPO on February 7, 2024, that is, the day before the receipt of the unwanted communication that is the subject of the complaint. In the Company's opinion, "it is therefore evident that, even if the call had been made on behalf of Illumia, the short time interval between the call and the registration in the RPO would not have constituted a violation of D.P.R. no. 26/2022, since pursuant to Article 8 (...) the consultation of the Register by each operator has an effect equal to fifteen days for data processing for the purposes of sending advertising material and direct sales (...)."'

As for file no. 352673, the Company preliminarily raised the irregularity of the complaint, since the telephone number to which the unwanted promotional contact was made belongs to the complainant's son and consequently the complaint appears to have been filed by a different subject than the interested party. Illumia then noted that the complainant's statements regarding her habit of using her son's telephone number in the context of contractual relationships related to electricity and gas services highlight a "(...) glaring misalignment between the holder of the mobile number and the actual contractor (...)" and that the fact that the complainant's son works for a company in the Energy sector does not preclude the possibility that the complainant's data were provided by the son, or that the call was actually directed to him. Then, reiterating the deductions already provided previously, the Company further highlighted that following additional investigations it emerged that the telephone number used by the complainant was registered in the RPO on March 15, 2024, and thus dates back to a time subsequent to the receipt of the telephone contact that is the subject of the complaint.

Additionally, the fact that both complainants did not provide any reply regarding what was represented in the notes of April 5, 2024, in the Company's opinion, serves to demonstrate the correct management of the facts subject to reporting.

Regarding the reports against unknown persons filed by the Company with the competent police authorities, Illumia noted that the Guardia di Finanza deemed it appropriate to hear the internal legal counsel as a person informed of the facts and that this "unusual approach" taken by the Authorities serves to prove that the Company represents the injured party.

with respect to the contested conduct.

With reference to telemarketing and teleselling activities, Illumia has stated that it relies on ten

agencies and sub-agencies for the telephone channel and seventeen agencies and sub-agencies operating within the web channel.

In order to ensure that its sales network operates in compliance with personal data protection regulations, the Company has first established a Technical Regulation for Agency Acquisition that identifies the minimum requirements to be met during the recruiting, acquisition, and coding phase of a new agency. This regulation, in effect since 2018, has also been subjected to two audit activities by independent bodies, which concluded with positive outcomes.

Illumia has further clarified that it conducts a series of preliminary checks—both from a contractual and regulatory perspective—prior to the signing of the agreement for teleselling activities. More specifically, the Technical Regulation (see Chapter 4) provides that, with the involvement of the Company's top management, a series of information and documentation is first acquired, including proof of registration in the Register of Communication Operators, followed by the completion of a checklist. Through this checklist, preliminary information is collected regarding the methods of acquiring lists and their suppliers, the assets and IT tools used, and the level of training of the personnel. Furthermore, starting from January 1, 2024, Illumia has implemented an additional checklist for monitoring personal data protection.

In support of the memoranda pursuant to Article 166, paragraph 6 of the Code, Illumia has also produced a sample of contracts signed with certain agencies containing detailed clauses on obligations regarding data protection and the attached forms.

Regarding the probationary period provided for in the referenced contracts, the Company has stated that the purpose of this clause “(...) is not so much to reserve a tool for terminating the contractual relationship in the event of non-compliance with the provisions regarding teleselling and data protection (situations for which an express resolutive clause formulated ad hoc is instead provided), but rather to provide the parties with a tool to ‘verify the mutual convenience of making the contractual bond stable or resolving it (...)’.”

Illumia has then illustrated the characteristics of the IT systems used for managing the sales force, particularly those for mapping the records of agencies, sub-agencies, and operators, as well as for calculating commissions, and has described the system responsible for uploading contracts by agencies and sub-agencies, subject to authorization at both the legal entity and individual operator levels. For each operator, a specific account is created, protected by a password. The company systems also map the numbers used by partners for conducting telemarketing activities. Furthermore, following a provision issued by the Authority against another operator in the same sector, the Company has also implemented a system for “verifying any anomalies related to the entry of recurring phone numbers and emails for contracts uploaded to the agencies' portal.”

The Company has reiterated that at least biannually, the Legal Affairs Department organizes mandatory training sessions for the sales forces.

Regarding checks on the contact lists used by commercial partners, Illumia has stated that it conducts verification activities quarterly before the start of a new campaign, during the campaign, and at its conclusion. More specifically, these checks are performed on a sample basis against an agency chosen based on a risk-based approach, using the number of finalized contracts and any rejections received as reference indicators. Following these verifications, a summary report is drafted.

As a result of the control activities, Illumia may raise Observations and Non-Conformities, or indicate to the agency remedial actions to be undertaken. In this latter case, the Company also conducts subsequent audits aimed at verifying compliance.

The Company has also stated that it conducts monitoring activities on contracts acquired through agencies. In this regard, the Technical Regulation and company procedures provide that the verification activity is divided into two phases: formal verification of contracts and confirmation calls. The latter is conducted on all contracts acquired through the telephone channel, using a predefined script, and in the event of a negative outcome, the provision is not activated. In contrast, for contracts concluded through the web channel, the confirmation call is currently conducted on a sample basis, but it is the Company's intention to extend it to all agreements.

Illumia has configured a specific section of the website that allows users to verify whether the number

****Caller falls among those used by its sales network, which may also involve the application of the Procedure for reporting numbers not in clear.****

Regarding monitoring activities on the sales network, the data controller has highlighted that it has established a Quality Monitoring Committee for Sales, composed of senior company figures, with the function of "monitoring the quality of Illumia's commercial network and compliance with sector regulations regarding the contracting processes and related documentation" and with the task of "analyzing the sales processes of outbound networks, verifying the defectiveness of contracts and the number and severity of complaints received." This committee also has "the power to conduct audits at agencies and initiate sanctioning procedures against less virtuous commercial partners that may conclude, in the most serious cases, with the termination of agency contracts."

For the management of reports from interested parties, the Company has made various channels available to users and implemented a specific procedure (Procedure for managing the exercise of rights regarding personal data protection). In the event that an interested party complains about receiving an unwanted promotional call, the relevant contact data is entered into a blacklist, which is then shared with the Agencies on a weekly basis. If the negative outcomes of the confirmation call and reports from users reach a predetermined critical threshold, the Company is entitled to take certain measures ranging from mere warnings to on-site visits and even to contract termination.

The numbers subject to reporting are also subject to further control, so that if they fall among those in use at the sales network, they lead to the implementation of the aforementioned ex post sales monitoring Procedure; otherwise, the Company proceeds to file a complaint with the Postal Police. Illumia has stated that it also conducts on-site audits on selected Agencies based on the risk-based principle, which considers the number of contracts concluded and the outcomes of monitoring activities. The audits, conducted using a specific checklist, aim to verify the compliance status of the agencies with the regulations regarding personal data protection. Finally, the Company has represented that it has undertaken a project to obtain ISO 9001 certification and to adhere to the Code of Conduct regarding telemarketing and teleselling. The data controller has not submitted a request for a hearing before the Authority pursuant to Article 166, paragraph 6, of the Code and Article 13 of internal regulation no. 1/2019.

****3. EVALUATIONS OF THE AUTHORITY****

It should be noted at the outset that, contrary to what the Company claims, the requests for information made by the Authority left no room for interpretation regarding the content of the requested responses. The aforementioned requests were made pursuant to Article 157 of the Code, and this regulatory reference was contained both in the subject and in the body of the communication.

Furthermore, considering that the same heading and the text of Article 157 of the Code explicitly refer to the presentation of documents and that based on the combined provisions of Articles 5, paragraph 2, and 24 of the Regulation, the principle of accountability places the burden on the data controller to demonstrate that the processing operations of personal data are conducted in compliance with the applicable regulations, it does not seem plausible that the Company could have encountered any misunderstanding or innocent interpretative error.

Secondly, the exceptions raised specifically concerning the complaints subject to the proceeding cannot be accepted either. In relation to complaint no. 345203, the Company noted that the interested party would have registered with the RPO only on February 7, 2024, that is, the day before receiving the unwanted communication. However, considering that from the documentation produced by Illumia it is not possible to ascertain whether this is a first registration or a renewal, and that the same interested party stated in the complaint that, under their own penalty of responsibility, they had joined the RPO "on 27/7, following in early January, and subsequently yesterday 7/02/2024," this exception cannot be accepted.

Illumia then contested the regularity of complaint no. 352673 for violation of Article 77 of the Regulation, arguing that the complaint should have been submitted directly by the son of the

complainant in his capacity as the account holder of the number receiving the unwanted call and that it cannot be excluded a priori that the contact was intended to reach the latter. On this point, it is appropriate to highlight that the complainant...

has lamented that the telephone operator was aware of the switch request actually made by her for the electricity and gas services of her home and even of the chosen operator. Therefore, considering the content of the phone call and that the interested party stated that she usually uses her son's number as a reference contact, there is no doubt that the call was directed precisely to the complainant and that for the caller that phone number constituted useful information to uniquely identify the interested party, regardless of the actual ownership of the telephone service.

The concept of personal data, in fact, as established by the Regulation, does not solely hinge on the nature of the data itself, but rather on its identificatory power, understood as the actual possibility of uniquely revealing the identity of the data subject.

This is confirmed by Article 4, point 1) of the Regulation, which defines personal data as "any information relating to an identified or identifiable natural person ('data subject'); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person," and Recital No. 26 clarifies that "It is desirable to apply the principles of data protection to all information relating to an identified or identifiable natural person. Personal data that are subject to pseudonymization, which could be attributed to a natural person by the use of additional information, should be considered information on an identifiable natural person. To establish the identifiability of a person, it is appropriate to consider all means, such as identification, that the data controller or a third party can reasonably use to identify that natural person directly or indirectly. To ascertain the reasonable likelihood of using the means to identify the natural person, all objective factors should be taken into account, including the costs and time required for identification, taking into account both the technologies available at the time of processing and technological developments (...)."

Applying these principles to the case at hand, it is exceedingly clear that based on the statements made in the complaint, the operator was in possession of a series of information (address, phone number, switch request, chosen operator) that, when used together, were exclusively referable to the complainant. It follows that the complaint contains all the formal and substantive requirements provided for by Article 77 of the Regulation.

Moreover, it should be added that the recipient of protection in data processing for telemarketing purposes is not only the "contractor" of a telephone service supply relationship but also the "user," understood as "any natural person using a publicly accessible electronic communication service for private or commercial purposes, without necessarily being subscribed to it," as specified by Article 121, paragraph 1-bis, letter g) of the Code.

In relation to complaint No. 352673, the observations made by the Companies regarding the registration with the RPO are entirely irrelevant, since the complainant did not complain about receiving a promotional call to a registered number, but rather about having received a promotional call in the absence of a suitable legal basis made by an operator unlawfully in possession of a series of information referable to her person.

The belief of the data controller regarding the circumstance that the lack of observations from the complainants serves to demonstrate "the correct management of the episode" cannot be shared, as it is merely a faculty granted to the interested parties, the non-exercise of which certainly does not equate to a waiver of the request, nor to acquiescence regarding the responses provided by the Company.

With reference to the obligations imposed on the data controller pursuant to Article 28 of the Regulation and the security measures implemented by the Company, from the examination of the documentation and the allegations transmitted as a whole, a picture of privacy governance emerges

that is not fully compliant and updated with respect to current legislation.

Moreover, this observation assumes particular gravity when considered in light of the circumstance that the teleselling activity, by the Company's own admission, is entirely outsourced to a significant number of agencies and sub-agencies. This is not to imply that outsourcing or the number of partners constitutes a violation in itself, but rather that the choice to entrust a branch of one's business to a series of external subjects should also be accompanied by the implementation of adequate measures to avert the risk of unlawful activities.

****Regarding teleselling activities, the company's compliance with personal data protection regulations is based on the Technical Regulation for Agency Acquisition, the latest update of which dates back to April 3, 2020.****

The examination of this regulation and the associated procedures fully confirms the culpa in eligendo and the disputes raised concerning the supplier selection process.

Except for the acquisition of documentation proving registration with the ROC and for a solitary reference to the purchase of "fubbate" lists, until December 2023, the only requirements evaluated by the Company during the agency recruiting phase, in accordance with the regulation and using the Agency Acquisition Checklist, concerned merely dimensional characteristics and the economic reliability of the Company. In fact, by Illumia's own admission, only from January 1, 2024, has a specific privacy checklist also been implemented. Furthermore, only some of the current agencies – six out of seventeen – were contracted in 2024, so the remaining agencies were selected and continue to process personal data in the absence of a prior and careful evaluation pursuant to Article 28 of the Regulation. This omission cannot even be remedied by the provision of a probationary period and express resolutive clauses in case of violations of personal data protection regulations.

The letter and the wording of the clause included in the contractual forms regarding the probationary period (see Article 10.2 of the agency contract: "In order to verify the mutual convenience of making this contractual bond stable or resolving it, the Parties agree to establish a probationary period of six months. This period will commence from the first month following the Agent's transmission of 50 ILLUMIA contracts, and during this period and from the date of signing this contract, each party may, at any time, withdraw at will from the relationship without any obligation of notice or substitute indemnity. If the probationary period expires in the last quarter of the year, the expiration of the probationary period is automatically extended to January 15 of the following year"), clearly and exclusively pertains to a concept of economic convenience. However, even if one were to accept a broader interpretation, such a clause could in no way fulfill the obligation imposed on the data controller to only engage qualified subjects in the field of privacy, as it is evidently inadequate to avert the risk that personal data processing carried out in the name and on behalf of Illumia is performed in the meantime by subjects who do not possess adequate capabilities and who have not implemented suitable security measures. Similarly, the fact that only in 2023 the application of the aforementioned clause led to the termination of five contracts is a symptomatic indicator of the inadequacy of the supplier selection and evaluation process.

With specific reference to the disputes regarding the obligation of supervision and monitoring of the actions of data processors (so-called culpa in vigilando), the Company has illustrated the contractual obligations imposed on the agencies and has stated that it conducts random on-site audits and document checks. However, for the reasons that will be extensively discussed below, the measures, although commendably adopted, do not fully comply with the current regulatory framework, nor are they sufficient in relation to the risks to the rights and freedoms of the data subjects.

First of all, it must be observed that the mere formal provision of operational instructions, obligations, and indemnity clauses cannot be considered as fulfillment of the obligations imposed on the data controller when not accompanied by periodic and effective monitoring and verification initiatives. Furthermore, the choice to carry out monitoring activities using criteria that result in identifying an excessively limited number of subjects or merely related to the mere occurrence of anomalies and reports does not appear to be justifiable.

With the entry into force of the European Regulation, among other things, the concept of accountability has been introduced into the Italian legal system, a principle with multiple implications and, in many

respects, disruptive. This principle, which undoubtedly reflects the influence of common law systems, proves to be entirely innovative. With the Italian legislator, in fact, the citizen is accustomed to knowing exactly the scope of the obligations and prohibitions imposed by law. Conversely, the principle of accountability grants the data controller a wide latitude of choice regarding the implementation of their governance in data protection matters, to which a complex concept of responsibility is intimately linked. Evidence of this innovative view of the matter is the very formulation of the security norms, which no longer list the minimum measures to be adopted but impose on the data controller the obligation to assess and identify the appropriate measures in relation to the context, the state of the art, and the risks.

Within this new conception of the role itself...

the holder, the principle of accountability must necessarily be considered as a common thread that informs the interpretation and application of all the rules and principles contained within the Regulation and therefore an indispensable hermeneutic criterion.

As a result, the obligations imposed on the data controller pursuant to Article 28 of the Regulation, when interpreted in light of the principle of accountability, cannot be deemed effectively fulfilled by mere provisions of standard clauses or by actions taken only ex post following an anomaly, but impose a *quid pluris*, that is to say, the actual governability of the processing chain and the periodic updating of the same technical and organizational measures implemented to achieve it.

Moreover, while maintaining the validity of a risk-based approach, the criteria used to identify the sample of subjects to be scrutinized in this case appear to be questionable. Considering that only a minimal part of the interested parties is usually inclined to send reports and that the interested party may not realize that they have entered into a contract based on an unlawful contact, the criteria used by Illumia prove to be ineffective and misleading, as they lead to identifying an excessively narrow number of subjects to be scrutinized.

Furthermore, Illumia's choice to act only upon reaching a predetermined threshold of anomalies does not seem entirely justifiable. The obligations and responsibilities outlined for the data controller indeed impose the necessity to act even in the presence of a single anomalous episode or an isolated report.

On the other hand, the obligations and instructions given to the data processors also confirm a not fully complete assimilation of the obligations imposed by the current legislation and that certain teleselling activities are carried out in the absence of an appropriate legal basis and the conditions provided by law.

The instructions attached to the agency contract, in the part where it states that "(...) The Agent is obliged to consult monthly, and in any case prior to the start of each promotional campaign, the Register of Oppositions, and to update their lists, verifying that the personal data to be contacted have not included their telephone contact(s) in the same, established by D.P.R. no. 178 of 2010, and also extended to mobile numbers with Law no. 5/2018, in order to avoid making offers to those who are listed in the Register; The Agent acknowledges and accepts that the consultation of the Register of Oppositions mentioned above is valid for fifteen days (...)," proves to be contradictory and in any case does not take into account the different temporal value of the consultations at the RPO provided by law depending on the means used for the realization of marketing activities (i.e. telephone, email, postal mail, etc.). Similarly, the control procedures for the sources of the personal data used for marketing campaigns explicitly aim to "ascertain that each telephone number present in the contactable list purchased by the Agent refers to a person who has validly consented to the communication of their contact data and its subsequent use for commercial and marketing purposes" and, on one hand, do not distinguish between prospects, clients, and former clients, and on the other hand, do not consider the case of data coming from public registers (cf. Articles 129 and 130 of the Code and Article 1 of Law no. 5/2018).

From the documentation and the information overall acquired, it finally appears established that there has also been a violation of the principles of integrity, security, and confidentiality established in Articles 5, 25, and 32 of the Regulation.

While the proceduralization of a contract loading system based on the creation of customized profiles managed by individual operators and protected by passwords is commendable, the Company has not provided any suitable element to prove the adoption of measures aimed at preventing the risk of activating contracts originating from an unlawful contact. More specifically, while it is true that Illumia seems to be able to trace back from the contract to the operator who entered it into the company systems, at the same time it has failed to implement measures and precautions that prevent its entry upstream (e.g., instructions on password management, measures to prevent simultaneous use of the account by multiple subjects, measures suitable for revealing anomalous access based on time, frequency, or geographical area, etc.).

In this regard, the Company itself has stated that some feasibility assessments are underway regarding the implementation of a tracking system for access to the portal for entering contracts. However, considering the peculiarities of Illumia's sales chain and in light of the current historical-social context, the state of the art, and the principles consistently established through the measures deliberated by the Authority, the failure to implement such a basic and essential safeguard confirms that the processing operations are not being carried out in such a way as to ensure adequate security of personal data, including protection against unauthorized or unlawful processing, loss, destruction, or accidental damage. For the reasons extensively illustrated, ultimately, the responsibility of Illumia regarding the alleged violations must be confirmed through the communication of the initiation of proceedings pursuant to Article 166, paragraph 5 of the Code.

4. CONCLUSIONS

Based on the above, it is deemed established that Illumia is responsible for the following violations:

- a) Articles 5, paragraph 2 and 24 of the Regulation for failing to fully comply within the preliminary investigation of this proceeding with the burden of proving that the processing operations are conducted in accordance with the regulations on the protection of personal data;
- b) Articles 5, 6, and 7 of the Regulation, as well as Article 130 of the Code, for having conducted the promotional contacts subject to complaint in the absence of an appropriate legal basis;
- d) Articles 5, paragraph 2, 24, and 28 of the Regulation for the failure to implement measures and procedures suitable to ensure that in the case of outsourcing processing, only subjects that provide sufficient guarantees to implement appropriate technical and organizational measures are selected so that the processing meets the requirements of this regulation and ensures the protection of the rights of the data subject (so-called culpa in eligendo);
- e) Articles 5, paragraph 2, 24, and 28 of the Regulation for the failure to implement instructions, measures, and procedures fully compliant with the applicable regulations and suitable to ensure effective oversight of the actions of the Data Processors (so-called culpa in vigilando);
- f) Articles 5, 25, and 32 of the Regulation for the failure to implement appropriate technical and organizational security measures to prevent the risk of contracts arising from unlawful contact, as well as access to company systems by unauthorized persons.

It has also been established that the conduct of the Company regarding the processing under examination is unlawful, thus it is necessary to:

- issue a warning to Illumia pursuant to Article 58, paragraph 2, letter b) for failing to fully comply within the preliminary investigation of this proceeding with the burden of proving that the processing operations are conducted in accordance with the regulations on the protection of personal data;
- impose on Illumia, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of data belonging to the complainants;
- order Illumia, pursuant to Article 58, paragraph 2, letter d) of the Regulation, to adopt technical and organizational measures suitable to ensure full compliance with the obligations imposed on the data controller pursuant to Article 28 of the Regulation;
- order Illumia, pursuant to Article 58, paragraph 2, letter d) of the Regulation to adopt technical and organizational measures suitable to prevent the risk of contracts arising from unlawful contact and access to company systems by unauthorized persons;

- adopt an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Illumia of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation.

5. INJUNCTION ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION

The violations indicated above necessitate the adoption of an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Illumia of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation (payment of an amount up to € 20,000,000.00 or, for companies, up to 4% of the annual worldwide turnover of the previous financial year, if higher).

For the determination of the maximum penalty of the pecuniary sanction, it is therefore necessary to refer to the turnover of Illumia, as derived from the latest available financial statement (March 2023) in accordance with previous measures adopted by the Authority, and thus this maximum penalty is determined, in this case, to be € 27,155,872.00.

For the determination of the amount of the sanction, it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation;

In this case, the following are relevant:

1) the severity of the violations (Article 83, paragraph 2, letter a) of the Regulation), taking into account the subject...

and the purposes of the processed data, related to the complex phenomenon of telemarketing, regarding which the Authority has adopted, particularly in the last three years, numerous measures that have thoroughly examined the multiple critical elements, providing the data controllers with numerous indications to align the processing with the current regulations and to mitigate the impact of nuisance calls on the affected parties;

2) as a mitigating factor, pursuant to Article 83, paragraph 2, letter d), the technical and organizational measures already implemented by the data controller pursuant to Articles 25 and 32 of the Regulation, such as, by way of example, the use from January 1, 2024, of a specific privacy checklist for the selection of agencies, the implementation of a system of random checks on the lists used and on contracts, the creation of personal accounts protected by passwords for access to systems by third parties.

Based on the complex of the elements mentioned above, and the principles of effectiveness, proportionality, and deterrence provided for by Article 83, paragraph 1, of the Regulation, and taking into account the necessary balancing between the rights of the data subjects and the freedom of enterprise, also in order to limit the economic impact of the sanction on the organizational and functional needs of the Company, it is deemed that an administrative sanction of payment of an amount of €678,897.00, equal to 2.5% of the maximum applicable fine, should be applied to Illumia. In this case, it is considered that the accessory sanction of publication on the Authority's website of this provision, as provided for by Article 166, paragraph 7 of the Code and Article 16 of the Authority's Regulation No. 1/2019, should be applied, taking into account the nature of the processing and the conduct of the Company, as well as the risk elements for the rights and freedoms of the data subjects. In implementation of the principles of Article 83 of the Regulation, the imposition of such an accessory sanction appears reasonable and proportionate in relation to the severity and particular disvalue of the conduct subject to censure, with specific reference to the duration of the established violations and the number of subjects involved.

The implementation of a supplier selection procedure that also addresses the issue of personal data protection with considerable delay compared to the issuance of the Regulation, which moreover granted two additional years to data controllers for compliance, reveals a culpable and ongoing insensitivity to the matter.

Furthermore, considering the duration of the violations, the significant number of agencies that the Company employs for telemarketing activities, as well as their widespread presence throughout the national territory, the audience of subjects involved in the violation appears particularly broad.

Finally, the prerequisites of Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Authority, are met.

ALL OF THE ABOVE CONSIDERED, THE AUTHORITY

- a) issues a warning to Illumia pursuant to Article 58, paragraph 2, letter b) for failing to fully comply within the preliminary investigation of this proceeding with the burden of demonstrating that the processing operations are conducted in accordance with the personal data protection regulations;
- b) imposes on Illumia, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of data belonging to the complainants;
- c) orders Illumia, pursuant to Article 58, paragraph 2, letter d) of the Regulation, to adopt technical and organizational measures suitable to ensure full compliance with the obligations imposed on the data controller pursuant to Article 28 of the Regulation;
- d) orders Illumia, pursuant to Article 58, paragraph 2, letter d) of the Regulation, to adopt technical and organizational measures suitable to prevent the risk of activating contracts originating from unlawful contact and unauthorized access to corporate systems;
- e) orders Illumia, pursuant to Article 157 of the Code, to communicate to the Authority, within thirty days from the notification of this provision, the initiatives undertaken in order to implement the imposed measure; any failure to comply with the provisions of this point may result in the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation;

ORDERS

Illumia S.p.A., represented by the legal representative pro tempore, with registered office in Bologna (BO), Via de Carracci 69/2, VAT number 02356770988, to pay the sum of €678,897.00 (six hundred seventy-eight thousand eight hundred ninety-seven) as an administrative pecuniary sanction for the violations indicated in the reasoning, representing that the offender, pursuant to Article 166, paragraph 8, of the Code has

****Authority to Resolve the Dispute, with Compliance to the Prescriptions Issued and Payment, within Thirty Days, of an Amount Equal to Half of the Imposed Sanction.****

****ORDERS****

The aforementioned Company, in the event of failure to resolve the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €678,897.00 (six hundred seventy-eight thousand eight hundred ninety-seven/00) according to the methods indicated in the attachment, within 30 days from the notification of this provision, under penalty of the adoption of the consequent executive acts in accordance with Article 27 of Law No. 689/1981.

****PROVIDES****

The application of the accessory sanction of publication on the Garante's website of the injunction order pursuant to Articles 166, paragraph 7 of the Code and 16 of the Garante Regulation No. 1/2019, and the annotation of the same in the internal register of the Authority - as provided for by Article 57, paragraph 1, letter u), of the Regulation, as well as by Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Garante - relating to violations and measures adopted in accordance with Article 58, paragraph 2, of the same Regulation. The publication of this provision pursuant to Articles 154-bis of the Code and 37 of the aforementioned Regulation No. 1/2019.

Pursuant to Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be filed with the ordinary judicial authority, with an application submitted to the ordinary court of the location where the data controller is based, within thirty days from the date of communication of the provision itself.

Rome, November 13, 2024

****THE PRESIDENT****

Stanzione

****THE REPORTER****

Stanzione

****THE SECRETARY GENERAL****

Mattei